Symbol	Particulars	Support	Target
C	B × 0.52	-26	+57.2
D	Nifty 24,500 call option price (₹100 - C)	100 - 26 = 74	100 + 57.2 = 157.2

Thus, in this situation, the stop-loss should be ₹74. The target should be ₹157.2.

3.3 Spotting Arbitrage Opportunities

In the last chapter, we also introduced the put-call parity relationship. Let us explore how to use put-call clarity to identify arbitrage opportunities.

An arbitrage opportunity arises when the market has mispriced an asset. Traders can profit by buying at a discounted rate or selling at a premium.

Let us understand this with an example.

Suppose the Nifty future is trading at 24,650. The Nifty 24,600 put option has a price of ₹200. Let us calculate the call price for the same strike price.

Strike Price + Call Price = Future Price + Put Price

➔ 24,600 + Call Price = 24,650 + 200

➔ Call Price = 24,850 - 24,600

➔ Call Price = 250